

MERIDIAN NATIONAL BANK

Home Loan Policy 2026

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1. Purpose and Scope

This policy governs the sourcing, appraisal, sanction and disbursement of housing loans extended by Meridian National Bank to resident individual applicants. It applies to all branches, direct selling agents and digital origination channels.

Any deviation from the criteria stated in this policy requires written approval from the Credit Committee and must be recorded in the loan file.

2. Applicant Eligibility

The applicant must satisfy all of the following conditions:

- The applicant must be a resident Indian citizen.
- The minimum age at the time of application is 21 years.
- The maximum age at loan maturity is 65 years for salaried applicants and 70 years for self-employed applicants.
- The applicant must hold a valid PAN and a completed KYC record as defined in the KYC Policy 2026.
- A co-applicant is mandatory where the property is jointly owned.

3. Employment Eligibility

The applicant must have at least 3 years of total employment history. Total employment history is computed as the aggregate of all verifiable salaried or self-employed work experience, irrespective of the number of employers.

In addition to the 3 year total employment requirement, salaried applicants must have completed a minimum of 6 months of continuous service with the current employer.

Self-employed applicants must demonstrate 3 years of continuous business vintage supported by audited financial statements or income tax returns for the last 3 assessment years.

Applicants who do not meet the minimum employment requirement are not eligible under this policy. Such applications must be declined at the appraisal stage and may not be escalated for deviation approval.

4. Income Criteria

- Minimum net monthly income for salaried applicants: INR 50,000.
- Minimum net annual income for self-employed applicants: INR 7,50,000.
- The Fixed Obligation to Income Ratio (FOIR), inclusive of the proposed EMI, must not exceed 50 percent of net monthly income.
- Variable pay, incentives and bonuses may be considered at 50 percent of the average of the last 24 months.

5. Loan Amount and Tenure

- Minimum loan amount: INR 5,00,000.
- Maximum loan amount: INR 10,00,00,000.
- Maximum tenure: 30 years, subject to the maximum age at maturity in Clause 2.
- Loan to Value ratio must not exceed 90 percent for loans up to INR 30,00,000, 80 percent for loans above INR 30,00,000 and up to INR 75,00,000, and 75 percent for loans above INR 75,00,000.

6. Required Documents

The following documents are required for a home loan application:

- Identity proof (PAN card mandatory, along with Aadhaar, passport, voter ID or driving licence).
- Address proof (Aadhaar, passport, utility bill not older than 3 months, or registered rent agreement).
- Income proof (latest 3 months salary slips for salaried applicants; income tax returns for the last 3 assessment years for self-employed applicants).
- Bank statements for the preceding 6 months of the primary salary or business account.
- Employment proof (appointment letter, employment certificate, or Form 16 for the last 2 financial years).
- Property documents (sale agreement, approved building plan, title deed chain, encumbrance certificate and latest property tax receipt).

Applications with incomplete documentation must not be logged into the sanctioning system.

7. Credit Assessment

A minimum credit bureau score of 700 is required. Applicants scoring between 650 and 699 may be considered only with a co-applicant meeting the full income criteria.

Any write-off, settlement or account classified as a Non-Performing Asset in the applicant's bureau report within the preceding 36 months renders the application ineligible.

8. Interest Rate and Charges

- Interest is linked to the external benchmark repo rate plus a spread determined by the applicant's bureau score and loan to value ratio.
- Processing fee: 0.50 percent of the sanctioned amount, subject to a maximum of INR 25,000 plus applicable taxes.
- No prepayment charges apply to floating rate loans availed by individual borrowers.

9. Sanction Authority and Human Review

No home loan application may be approved or rejected by an automated system. Decisioning engines and AI assistants may produce eligibility recommendations only. The final sanction decision must be recorded by an authorised credit officer.

Sanction authority limits: Branch Manager up to INR 50,00,000; Regional Credit Head up to INR 3,00,00,000; Credit Committee above INR 3,00,00,000.

10. Turnaround Time

- Acknowledgement of application: 1 working day.
- Credit decision after receipt of complete documents: 7 working days.
- Disbursement after execution of loan agreement: 3 working days.

End of Home Loan Policy 2026. This document supersedes all prior versions. Queries to be routed to Retail Credit Department.